MalikTrades

THE COIN FLIP

Why a losing streak doesn't mean your strategy is broken

TRADING PSYCHOLOGY

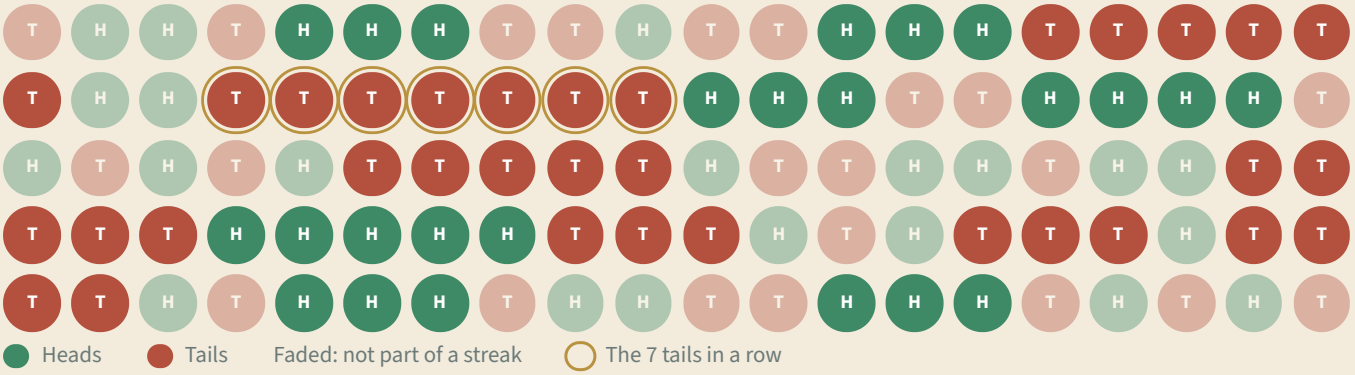
PART 01

The coin flip experiment

One coin, 100 flips, and a result that surprises almost everyone.

This is one of the most powerful mindset shifts I've ever made, and it's pure maths. Take a normal coin. It lands on heads or tails, **50/50**. Now flip it **100 times** and write down every result.

Most people expect something like heads, tails, heads, tails. That's not what happens. Here's a real run of 100 flips:



45 / 55
heads vs tails, close to 50/50 overall

5
heads in a row, the longest winning run

7
tails in a row, the longest losing run

14
streaks of 3 or more in a row

A coin with **no edge at all** still landed on tails **seven times in a row**. More than half of all the flips were part of a streak of three or more. That isn't a broken coin. **That's just how randomness works.**

THIS WASN'T A LUCKY RUN

I simulated 40,000 runs of 100 coin flips. The **typical longest losing run was 6 in a row**, and about **1 run in 3 had 7 or more**. Long streaks aren't rare. They're normal.

DO IT YOURSELF

Don't just read this. Grab a coin and flip it 100 times, or open a spreadsheet and use a random number. Write down every result, then **count the streaks**. Seeing it with your own hands is what makes it stick.

PART 02

Now make it your trading

Heads is a winning trade. Tails is a losing one.

Imagine each flip is a trading day. Day one is tails, a loss. You tell yourself it's fine, you've got a 50% win rate, tomorrow will be better. Then you lose **six more days in a row**.

By now you're asking: **is my strategy broken?** Is my coin loaded? Do I need a new one? But nothing changed. Those seven days were just seven out of a hundred, and over the full hundred the coin still came out **close to 50/50**.

ZOOMED IN (WHAT IT FEELS LIKE)

- ✕ **7 losses in a row:** "My strategy has stopped working. I need something new."
- ✕ **5 wins in a row:** "I've cracked it. I'm the best trader out here."
- ✕ Every single trade and every single day feels like it means something

ZOOMED OUT (WHAT'S ACTUALLY HAPPENING)

- ✓ Both streaks came from the **exact same coin**, with the exact same edge
- ✓ Neither streak told you anything about the coin
- ✓ Over enough flips, the result settles back to what the edge really is

> *Every edge has a random distribution of wins and losses. You don't know which one comes next, only how they add up over a big sample.*

That idea comes straight from Mark Douglas and **Trading in the Zone**. It doesn't matter what your win rate is or what you trade. Wins and losses will **clump together**, and some of those clumps will be ugly.

The biggest mistake I see is traders judging their strategy on **a tiny sample**: one day, one week, one bad stretch. They zoom in on the red days, decide the coin is broken, and go looking for a new one. That's how people end up **jumping from strategy to strategy** and never building a real edge.

> **Remember:** a losing streak with valid setups is not a signal to change your strategy. It's a signal to **check your process and keep going**.

PART 03

What this means for our system

Even a 70% win rate will hand you losing streaks.

Over a large sample of my own tracked trades, our system wins **70% of the time** with 1:1 targets. That's a lot better than a coin. But it still isn't 100%, so **streaks are guaranteed**. I ran thousands of simulations at that 70% win rate to show you exactly how likely they are.

CHANCE OF LOSING THIS MANY TRADES IN A ROW AT LEAST ONCE

AT A 70% WIN RATE, OVER	3 IN A ROW	4 IN A ROW	5 IN A ROW	6 IN A ROW
100 trades	**86%**	**43%**	15%	5%
250 trades	**99%**	**76%**	**35%**	12%
500 trades	**100%**	**95%**	**58%**	22%

At 3–4 setups a session, 500 trades is roughly **6 to 8 months** of trading. Based on 40,000 simulated runs for each row.

Read that again. If you trade our system properly for half a year, you will almost certainly hit **4 losses in a row**, and there's a good chance you'll see **5**. That's not the system failing. **That's the system working exactly as expected.**

WHAT A SESSION LOOKS LIKE, WITH 4 TRADES AT 1:1

65%
green sessions
3 or 4 winners

27%
breakeven sessions
2 winners, 2 losers

8%
red sessions
0 or 1 winners

So about **1 session in 12 will be red** even when you do everything right. Over a year of trading, there's an **80% chance** you'll have two red sessions back to back, and about a **1 in 8 chance** of three in a row.

> **Why our system handles this so well:** we take **3–4 setups every session**, in any market condition. That volume is what makes the edge work. A 70% win rate only shows up over lots of trades, and we get there fast, so **a losing streak gets diluted within days**, not weeks. Every trade is a **small 1:1 move**, so no single loss does real damage. And because the next setup is never far away, there's **no pressure to force or revenge trade**. With only a few trades a week, the same streak could take a month to recover from.

PART 04

What to do in a losing streak

Losses still suck. They just don't get to run the show.

Knowing the maths doesn't make a losing streak feel good. It still stings. But it changes the question you ask. Instead of **"what's wrong with my strategy?"**, you ask **"did I follow my process?"**

1. **Check the process, not the result.** Were they valid setups at your levels? Did you respect your stop? If yes, those losses were just tails.
2. **Size by the stars, never by the last result.** Don't size down out of fear or size up to win it back. A 3-star setup is a 3-star setup, streak or no streak.
3. **Respect the daily cap.** Two losses and you're done for that account for the session. The streak ends on paper, not in your head.
4. **Zoom out.** Open your journal and look at the equity curve by day, not today's trades. One red stretch on a rising curve is just noise.
5. **Log it and review it.** Tag any real mistakes in the journal, and deal with them in your weekly self review, not in the middle of the session.

DURING A STREAK, DON'T

- ✕ Switch strategies or "add a new confluence"
- ✕ Revenge trade to win it back
- ✕ Skip valid setups because you're scared

DURING A STREAK, DO

- ✓ Keep taking every valid setup
- ✓ Keep your sizing and your stops the same
- ✓ Remind yourself: the coin isn't broken

THE BOTTOM LINE

A losing streak isn't a verdict on you or your strategy. It's just part of the sample you're building. Keep trading your edge, and let the numbers do their work.

READ NEXT

The Boom-and-Bust Cycle

Why traders make money, then give it back, and how to stay level after a win and after a loss.